IN THE **COUNTY** COURT OF THE **TWELFTH** JUDICIAL CIRCUIT
IN AND FOR **MANATEE** COUNTY, FLORIDA

COLONIAL MANOR MHC HOLDINGS, LLC,
Plaintiff,

vs. Case No.: 2025-CC-000715

GEORGE EDWARD YESKE, III and ANY
UNKNOWN PARTY(s) IN POSSESSION,
Defendants.
_______________________________________/

AMENDED MOTION IN LIMINE

COMES NOW, the Plaintiff, by and through the undersigned counsel, and moves this Court in Limine to exclude from the evidence in the trial of this cause:

1. The appearance and testimony of C. Nate Nelson. Mr. Nelson was served with a subpoena for trial in this cause. Mr. Nelson was served in the State of Utah, he has no residence in the State of Florida, and although he is a manager of Colonial Manor MHC Holdings, LLC., the witness no evidence and is not the custodian of relevant to whether the Defendant paid rent to the Plaintiff. Plaintiff has failed to establish any legal basis or procedure with which to compel the attendance of an out of state witness. Packaging Corp. of Am. v. DeRycke, 49 So. 3d 286 (Fla. 2d DCA 2010). Beneschott v. Toptal, LLC, 2025 Fla. App. LEXIS 2990; 2025 LX 48865; 50 Fla. L. Weekly D 901. See also Fla. Stat. §92.251

2. Any evidence of whether the mobile home was damaged. Evidence of mobile home damage is not relevant to whether the Defendant paid rent to the Plaintiff, pursuant to Fla. Stat. §723.061. First, mobile home park landlord tenant relations are governed solely by Fla. Stat. Chapter 723. Fla Stat. §723.002. Second, the Plaintiff rents lots to tenants, not mobile homes, including Defendant's mobile home. Third, in his pleadings, Defendant has not accused the Plaintiff of interfering with Defendant's utilities or engaging otherwise in a constructive eviction (denying Defendant access to his property on the lot). See Court prior order of April 11, 2025. DIN **24** (27).

3. Evidence of the condition of the premises, or whether the property has been examined by representatives of City of Palmetto Code Enforcement, should be excluded from the evidence presented in this cause. Literally, the Plaintiff rents the real property to the Defendant, and cannot rent the premises to anyone else with Defendant's personal property on it, and Defendant entitled to possession of the premises. The evidence of the condition of the property is not relevant to the cause of action.

4. Evidence of independent tort and punitive damages should be excluded from the trial of this cause. "The pleading and proving of an independent tort are required in a breach of contract action in order for punitive damages to be recovered. Lewis v. Guthartz, 428 So. 2d 222 (Fla. 1982). Both at its core and by operation of law, the Plaintiff's cause of action is a statutory one based upon the operation of Chapter 723 of Florida Statutes. Defendant, though using the word "cross claim in its answer to the complaint, has failed to allege an independent tort and failed

to allege any facts giving rise to an affirmative defense for which punitive damages may be awarded.

Respectfully submitted on this 21st day of November, 2025.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true copy of the foregoing Amended Motion in Limine has been has been furnished in accordance with Florida Rules of Judicial Administration 2.516 through Florida Courts E-Filing Portal upon the Defendant, GEORGE EDWARD YESKE, III, at 14382 O'Neal Road, Gulfport, MS 39503 and at george.yeske@gmail.com and to GEORGE EDWARD YESKE, III and ANY UNKNOWN PARTY(s) IN POSSESSION, at their last known address of 900 - 9th Avenue East, Lot #38, Palmetto, Florida, 34221, on this 28st day of November, 2025.

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Packaging Corp. of Am. v. DeRycke

Court of Appeal of Florida, Second District

October 15, 2010, Opinion Filed

Case Nos. 2D09-4116, 2D09-5207

Reporter

49 So. 3d 286 *; 2010 Fla. App. LEXIS 15601 **; 35 Fla. L. Weekly D 2287

PACKAGING CORPORATION OF AMERICA, GREAT AMERICAN INSURANCE COMPANY, and ZURICH AMERICAN INSURANCE COMPANY, Appellants, v. GAYLE A. DeRYCKE, as Personal Representative of the Estate of Douglas C. DeRycke, Deceased, Appellee.

Subsequent History: Rehearing denied by *Packaging Corp. of Am. v. De Rycke, 2010 Fla. App. LEXIS 20477 (Fla. Dist. Ct. App. 2d Dist., Dec. 20, 2010)*

Prior History: **[**1]** Appeals from the Circuit Court for Pinellas County; Amy M. Williams, Judge.

Buckeye Corrugated, Inc. v. DeRycke, 2003 Ohio 6321, 2003 Ohio App. LEXIS 5703 (Ohio Ct. App., Summit County, Nov. 26, 2003)

Counsel: Ugo Colella and Eric Kuwana of Katten Muchin Rosenman LLP, Washington, D.C.; and Charles W. Hall and Mark D. Tinker of Banker Lopez Gassler P.A., St. Petersburg, for Appellants.

George A. Vaka of Vaka Law Group, P.L., Tampa; and C. Steven Yerrid and David D. Dickey of the Yerrid Law Firm, Tampa, for Appellee.

Judges: LaROSE, Judge. WALLACE and BLACK, JJ., Concur.

Opinion by: LaROSE

Opinion

[*288] LaROSE, Judge.

Packaging Corporation of America (PCA) and its insurers appeal the final judgment awarding $ 5,165,413 in damages plus $ 400,000 in attorney's fees and $ 110,000 in costs to Gayle DeRycke as personal representative of the Estate of Douglas DeRycke. We find merit in PCA's arguments that the trial court erred in directing a liability verdict against PCA, in refusing to allow disclosure to the jury of a conditional settlement agreement, in denying PCA's motion to offset damages with sums obtained from a collateral source, and in awarding attorney's fees to Mrs. DeRycke. We affirm, without further discussion, two other issues presented on appeal by PCA. Although we recognize that our decision will bring no immediate closure for Mrs. DeRycke, we **[**2]** are **compelled** to affirm in part, reverse in part, and remand for a new trial.

Factual Background

This case arises from a tragic automobile accident in which Mr. DeRycke was killed. Mr. DeRycke lived in New York; he worked for and was a shareholder of Buckeye Corrugated, Inc. Randall Knight lived in New Hampshire and worked for PCA. Mr. DeRycke and Mr. Knight were very close friends and business associates. In January 2001, Mr. DeRycke, Mr. Knight, and their spouses travelled to Florida. On January 18, 2001, Mr. Knight was driving everyone back to St. Petersburg after dinner in Tampa. His vehicle overturned, killing Mr. DeRycke.

In 2002, Mrs. DeRycke, as personal representative, sued Mr. Knight; she sued PCA on a vicarious liability theory. Mr. Knight denied liability and asserted that a phantom vehicle caused the crash. PCA denied that Mr. Knight was acting within the course and scope of his employment.

A jury trial took place in December 2008. Mr. Knight admitted negligence and did not contest damages. PCA continued to deny liability and also asserted the phantom vehicle defense. Vernon Sumwalt, a former PCA vice-president who had retired and lived in South Carolina, was PCA's corporate **[**3]** representative at trial. Mrs. DeRycke's counsel had deposed Mr. Sumwalt several years before. At trial, Mr. Sumwalt unexpectedly testified that Mr. Knight caused the crash and Mr. DeRycke's death. He also conceded that if Mr. Knight and Mr. DeRycke discussed business at dinner before the crash, it could have been a business-related dinner.

During his testimony, Mr. Sumwalt violated an order prohibiting any reference to Mrs. DeRycke's settlement with another party. The trial court held Mr. Sumwalt in contempt. For a variety of reasons, the trial court eventually declared a mistrial. Thereafter, the trial judge recused himself. The judge to whom the case was transferred ordered retrial for June 2009 on the issues of the scope of Mr. Knight's employment with PCA at the time of the crash and damages.

In anticipation of the retrial, PCA identified Mr. Sumwalt as its corporate representative. It came as no surprise, therefore, that at the May 13, 2009, pretrial conference, the trial court ordered PCA to produce Mr. Sumwalt for trial. Mrs. DeRyke's counsel served Mr. Sumwalt with a South Carolina subpoena for video testimony to be shown live to the jury via a satellite feed. Mr. Sumwalt told **[**4]** the process server that he could not be in South Carolina for video testimony because he was supposed to be in St. Petersburg for the trial. At this point, the parties anticipated Mr. Sumwalt's participation at the second trial.

Mr. Sumwalt, apparently, had a change of heart. In a May 29, 2009, letter, PCA's counsel advised Mrs. DeRycke's counsel **[*289]** that Mr. Sumwalt now claimed to have scheduling conflicts. Mrs. DeRycke's counsel reminded PCA that the trial court had ordered Mr. Sumwalt to attend trial and sought assurances that he would honor the subpoena to testify. PCA's counsel responded that he was making an effort to have Mr. Sumwalt **appear** at trial, but that PCA could not force Mr. Sumwalt to do so; he was retired and lived outside of Florida.

On June 1, 2009, Mr. Sumwalt, through his own counsel, filed a motion in South Carolina state court to quash the subpoena. PCA's counsel informed Mrs. DeRycke's counsel on June 3 that Mr. Sumwalt indicated he might be in Iowa at the time of trial. Mrs. DeRycke's counsel moved to enforce the Florida trial court's order requiring Mr. Sumwalt to **appear** at trial or, in the alternative, for sanctions.

At a June 4, 2009, hearing, the trial court reiterated [**5] that PCA must produce Mr. Sumwalt. PCA argued that Mr. Sumwalt was a former employee who had a bad experience with the court at the first trial, that he no longer wanted to be involved, and that PCA had no control over him. PCA objected to any sanctions if Mr. Sumwalt did not **appear**. PCA's counsel recounted that he had been unsuccessful in reaching Mr. Sumwalt's personal attorney. He tried to make arrangements for Mr. Sumwalt to **appear**. Mrs. DeRycke's counsel again offered to allow Mr. Sumwalt to **appear** by video. PCA agreed to video testimony but repeated that it had no power to make him **appear**. PCA conceded, however, that it might be bound by Mr. Sumwalt's previous testimony.

The trial court was unmoved. It stated that Mr. Sumwalt must **appear** and testify as PCA's corporate representative. If he refused, the trial court would issue a bench warrant for his arrest. Finally, the trial court warned that PCA could be defaulted if it did not produce Mr. Sumwalt.

The next day, on June 5, 2009, the South Carolina court granted Mr. Sumwalt's motion to quash the South Carolina subpoena and "granted [**6] protection from any obligations to **appear** and give testimony at either trial or through video deposition." The South Carolina court noted that the subpoena was unduly burdensome because Mr. Sumwalt had already testified at a deposition and at the first trial and that Mr. Sumwalt was going to be in Iowa to deal with a family health matter.

On the morning of trial, it was clear that Mr. Sumwalt would not **appear**. Mrs. DeRycke moved for a directed verdict against PCA. PCA repeated that it could not force Mr. Sumwalt to attend. PCA argued that Mr. Sumwalt's absence would not unduly prejudice Mrs. DeRycke because she could use his deposition and prior trial testimony. PCA assured the trial court that it would not contest any of his prior testimony. The trial court granted the motion and proceeded on the damages issue only. Two damages-related issues surfaced on retrial. We will discuss these issues in more detail as we proceed.

The jury returned a verdict in favor of Mrs. DeRycke. Subsequently, the trial court entered a final judgment for $ 5,165,413. It awarded her $ 400,000 in attorney's fees under a prior proposal for settlement and $ 110,000 in costs. *See § 768.79, Fla. Stat.* (2009); *Fla. R. Civ. P. 1.442*.

*Directed [**7] Liability Verdict*

PCA argues that the trial court erred in directing a liability verdict against it. We agree. "A deliberate and contumacious disregard of the court's authority will justify application of this severest of sanctions, as will bad faith, willful disregard or gross indifference to an order of the court, or conduct which evinces deliberate callousness." *Mercer v. Raine, 443 So. 2d 944, 946 [*290] (Fla. 1983)* (citations omitted). Yet, "the imposition of the most severe sanctions . . . should be reserved for those occasions where the violation is flagrant, persistent, willful or otherwise aggravated." *Alvarez v. Alvarez, 638 So. 2d 153, 153 (Fla. 2d DCA 1994)*; *see Carazo v. Status Shipping, Ltd., 613 So. 2d 1329, 1330 (Fla. 2d DCA 1992)*. "Absent evidence of a willful failure to comply or extensive prejudice to the opposition, however, the granting of such an order constitutes an abuse of discretion." *Kamhi v. Waterview Towers Condo. Ass'n, 793 So. 2d 1033, 1036 (Fla. 4th DCA 2001)*; *see Insua v. World Wide Air, Inc., 582 So. 2d 102, 103 (Fla. 2d DCA 1991)*.

PCA could not **compel** Mr. Sumwalt to testify at trial. It had "no method to **compel** an **out-of-state witness** to testify in a civil [**8] proceeding." *See Washington v. State, 973 So. 2d 611, 613 (Fla. 3d DCA 2008)*; *see also Scripto Tokai Corp. v. Cayo, 623 So. 2d 828, 828-29 (Fla. 3d DCA 1993)* (holding trial court departed from essential requirements of law by ordering Scripto to produce nonresident former corporate officer for videotape deposition because it was legally unable to procure his attendance). Mr. Sumwalt wanted to disengage himself from the proceedings. The South Carolina court accommodated him. "[J]udicial acts of courts in other states, properly exercising their jurisdiction, should be respected under the comity doctrine" where not inconsistent with Florida public policy interests. *Jeep Corp. v. Sanders, 546 So. 2d 1098, 1099 (Fla. 5th DCA 1989)* (reversing, on comity grounds, trial court's order directing American Motors Corporation to allow ex-employee to testify for plaintiffs in suit against Jeep despite Ohio injunction precluding ex-employee from testifying).

The trial court exceeded its authority in directing a liability verdict. PCA explained its efforts to secure Mr. Sumwalt's attendance and its inability to force him to **appear**. Quite simply, Mr. Sumwalt refused to participate further. *See Herold v. Computer Components Int'l, Inc., 252 So. 2d 576 (Fla. 4th DCA 1971)* **[**9]** (holding trial court exceeded its proper discretion in dismissing case where plaintiff attempted to comply with order and sought to explain inability to do so). There was no showing that Mr. Sumwalt's nonappearance would unduly prejudice Mrs. DeRycke. *See Alvarez, 638 So. 2d at 153-54*. She could use Mr. Sumwalt's prior deposition and trial testimony, which PCA agreed not to challenge. We must also note that our record is devoid of any facts suggesting that PCA orchestrated or otherwise played any role in Mr. Sumwalt's decision not to provide testimony at the second trial.

As we did in *Alvarez*, we must conclude that the imposed sanction was unwarranted. *See id. at 154*. We are sympathetic to the fact that Mrs. DeRycke undoubtedly has endured turmoil in these proceedings. Nonetheless, we must reverse and remand for a new trial.

Mary Carter Agreement

Before the damages trial, Mrs. DeRycke moved in limine to prohibit any reference to settlement discussions. Responding to the trial court's question of whether there was a settlement between Mrs. DeRycke and Mr. Knight, counsel advised as follows:

> We don't have a settlement. What we have is an agreement by the Plaintiff not to hold Mr. Knight **[**10]** responsible for a judgment in excess of his insurance coverage in return for his admission of liability and his agreement not to contest damages. . . . We will not know if he contests damages until the last testimony in the case is done.

[*291] Mr. Knight's counsel labeled the arrangement a "conditional agreement." Mr. Knight remained a party in the suit. PCA objected to the nondisclosure of the agreement to the jury based on the "Mary Carter" line of cases. The trial court granted the motion in limine, prohibiting disclosure of the agreement to the jury. It observed, however, that if settlement were reached during trial, it might tell the jury. PCA appeals that ruling. No discussion of the agreement occurred at trial, and it was not revealed to the jury.

The term "Mary Carter agreement" originated in *Booth v. Mary Carter Paint Co., 202 So. 2d 8 (Fla. 2d DCA 1967)*. [1] There, the plaintiff agreed to limit the financial liability of two defendants and they agreed to

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[1] *Booth v. Mary Carter Paint Co., 202 So. 2d 8 (Fla. 2d DCA 1967), rejected by Ward v. Ochoa, 284 So. 2d 385 (Fla. 1973)* (holding Mary Carter agreements must be disclosed to jury upon proper motion), ***abrogated by Dosdourian v. Carsten, 624 So. 2d 241 (Fla. 1993)*** (holding Mary Carter agreements void and inadmissible).

continue as active defendants until all liability and damages questions were resolved between the plaintiff and the remaining defendants. Id. at 10. This "conditional agreement" would not be construed as a settlement and would not [**11] be revealed to the jury. Id. In Ward v. Ochoa, 284 So. 2d 385, 387-88 (Fla. 1973), the supreme court described a Mary Carter agreement in terms particularly applicable to the agreement between Mrs. DeRycke and Mr. Knight:

> A "Mary Carter Agreement". . . is basically a contract by which one codefendant secretly agrees with the plaintiff that, if such defendant will proceed to defend himself in court, his own maximum liability will be diminished proportionately by increasing the liability of the other codefendants. Secrecy is the essence of such an arrangement, because the court or jury as trier of the facts, if apprised of this, would likely weigh differently the testimony and conduct of the signing defendant as related to the nonsigning defendants. By painting a gruesome testimonial picture of the other defendant's misconduct or, in some cases, by admissions against himself and the other defendants, he could diminish or eliminate his own liability by use of the secret "Mary Carter Agreement."

Id. at 387.

> [S]ettling parties may enter a Mary Carter agreement to prejudice the nonsettling defendant, particularly if the settling defendant has shallow pockets. The plaintiff may accept a fixed [**12] payment from the settling defendant (typically the full extent of his insurance coverage) in exchange for his assistance in securing a large judgment against his codefendant.

John E. Benedict, Note, "*It's a Mistake to Tolerate the Mary Carter Agreement*," 87 Colum. L. Rev. 368, 372 n.14 (1987). The *Ochoa* court concluded that Mary Carter agreements tend to mislead juries and judges and border on collusion and held that they would be admissible in evidence at the request of any other defendant who stood to lose as a result of such an agreement. 284 So. 2d at 387-88.

Twenty years after *Ochoa*, the supreme court revisited Mary Carter agreements in *Dosdourian v. Carsten, 624 So. 2d 241 (Fla. 1993)*. That case involved an agreement by the plaintiff to settle all claims against one defendant in return for payment of her insurance policy limits and her continued participation in the litigation. [**13] *Id. at 242*. The trial court ruled that the agreement need not be disclosed to the jury unless the plaintiff called the settling defendant to testify at trial. *Id.* On appeal, the nonsettling [*292] defendant argued that the trial court should have told the jury about the agreement. *Id.* The supreme court reversed and remanded for a new trial, concluding that " '[t]he integrity of our justice system is placed in question when a jury charged to determine the liability and damages of the parties is deprived of the knowledge that there is, in fact, no actual dispute between two out of three of the parties.' " *Id. at 247* (quoting Dosdourian v. Carsten, 580 So. 2d 869, 872 (Fla. 4th DCA 1991)). The supreme court reasoned that the settling codefendant could influence the trial; even "[s]imple inaction on the part of one defendant can adversely affect the codefendant." *Id. at 247*. The court explained further as follows:

> Mary Carter agreements defeat the policies underlying all systems of allocation of liability among tortfeasors used in the United States today. Mary Carter agreements are used purposely to defeat any system of equitable sharing and to shift liability to the nonsettling defendant through [**14] manipulation of the trial process. . . .
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> . . . .
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> . . . In order to give a plaintiff and codefendant the freedom of making whatever arrangement they wish in settling their dispute, the civil litigation system and the nonsettling parties must pay the price of

> risking perjury, confusing juries and permitting evasion of the various allocation systems designed to ensure equitable sharing of liability among tortfeasors. Because it is not possible to ensure a fair trial for the nonsettling defendant when a Mary Carter agreement is involved, and because these agreements do not fairly encourage settlements, there is no reason to permit a Mary Carter agreement to determine the relative liability of those responsible to the plaintiff. Rather, public policy and an untainted adversary trial should determine the distribution of liability among the potential obligors.
> The best solution is outright prohibition of Mary Carter agreements.

Id. at 245 (quoting June F. Entman, "*Mary Carter Agreements: An Assessment of Attempted Solutions,*" 38 U. Fla. L. Rev. 521, 574, 579 (1986)). *Dosdourian* left the agreement intact and ordered that it be admitted into evidence at Dosdourian's request but held that Florida **[**15]** courts would no longer recognize Mary Carter agreements. *Id. at 246-48.*

As with the agreement in *Dosdourian,* the agreement between Mrs. DeRycke and Mr. Knight limits his exposure in return for his continued participation in the litigation and various concessions on liability and damages. *See 624 So. 2d at 242*; *cf.* *La Costa Beach Club Resort Condo. Ass'n v. Carioti, 37 So. 3d 303 (Fla. 4th DCA 2010)* (holding settlement agreement between association and one officer was not an illegal Mary Carter agreement where it required only that officer make himself available for trial but not his full trial participation and where officer testified that he had settled and was no longer a defendant). Based on *Dosdourian,* PCA argues that if adversarial parties enter into a Mary Carter agreement, it must be disclosed to the jury. We note that *Dosdourian* allowed the Mary Carter agreement to remain intact and ordered disclosure. *Id. at 247-48.* We also note that the parties did not argue below nor did they raise on appeal any issue as to whether the agreement was against public policy. *See, e.g., Nieves v. Snapp Indus., Inc., 929 So. 2d 623, 624 (Fla. 3d DCA 2006)* (holding that trial court correctly denied **[**16]** motion by one of several defendants to enforce agreement, barred as a matter of law, that defendant would pay plaintiff $ 5000 in exchange for defendant's agreement **[*293]** not to oppose summary judgment). Nevertheless, post-*Dosdourian* decisions **compel** us to conclude that the agreement with Mr. Knight was subject to disclosure.

In *Goodyear Tire & Rubber Co. v. Ross, 660 So. 2d 1109, 1110 (Fla. 4th DCA 1995)*, the plaintiff settled with one defendant before trial but did not dismiss that defendant from the trial until after she read the defendant's responses to pretrial requests for admissions. The plaintiff persuaded the trial court that the settlement should not be disclosed to the jury. *Id.* The Fourth District, citing *Dosdourian,* reversed, holding that the failure to disclose the settlement agreement required a new trial. *Id. at 1111*; *see also* *Naghtin v. Jones, 629 So. 2d 1109 (Fla. 1st DCA 1994)* (reversing and remanding for a new trial because trial court abused its discretion by failing to disclose to the jury plaintiff's settlement with defendant who remained in trial); *cf.* *Peterson v. Morton F. Plant Hosp. Ass'n, 656 So. 2d 501, 503 (Fla. 2d DCA 1995)* (holding settlement not yet reduced **[**17]** to writing but where settling defendant remained only nominal defendant and played no role in trial was not Mary Carter agreement that must be disclosed to jury).

The trial court erred in precluding disclosure of the agreement to the jury. We reverse the trial court's ruling, but we leave the enforceability question for the trial court to address at retrial if raised by the parties.

Collateral Source Offset

Upon Mr. DeRycke's death, his employer, Buckeye, paid his estate $ 941,760 for the book value of his company stock. To fund the stock repurchase, Buckeye used a portion of the proceeds of insurance policies it had purchased for itself designated for that purpose. Mrs. DeRycke sued Buckeye in Ohio state court, claiming that she was entitled to all proceeds from these policies. The Ohio Ninth Judicial District Court of Appeals agreed. It held that, under Buckeye's Code of Regulations, the purchase price of stock from a deceased shareholder was the stock's book value plus the amount of life insurance proceeds payable to Buckeye on account of the shareholder's death. [2] *Buckeye Corrugated, Inc. v. DeRycke, 2003 Ohio 6321, 2003 WL 22797246, at *4-6 (Ohio Ct. App. 2003)*. The Ohio court **[**18]** held that Buckeye must pay Mrs. DeRycke an additional $ 734,980, plus interest. *Id.* The proceeds of several other life insurance policies Buckeye had purchased for Mr. DeRycke, payable to the beneficiary of his choice, were also paid to the estate. *2003 Ohio 6321, Id. at *1*.

At trial, PCA sought to offset the additional funds that Mrs. DeRycke received from the Buckeye insurance policies against the economic damages awarded by the jury for loss of income stemming from the premature sale of the stock. *See § 768.76, Fla. Stat.* (2009) (providing for reduction in damages **[**19]** award for amounts already paid to claimant from collateral sources). *Section 768.76* provides, in part, as follows:

> (1) In any action to which this part applies in which liability is admitted or is determined by the trier of fact and in **[*294]** which damages are awarded to compensate the claimant for losses sustained, the court shall reduce the amount of such award by the total of all amounts which have been paid for the benefit of the claimant, or which are otherwise available to the claimant, from all collateral sources . . .
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> .
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> (2) For purposes of this section:
>
> (a) "Collateral sources" means any payments made to the claimant, or made on the claimant's behalf, by or pursuant to:
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> 1. The United States Social Security Act, except Title XVIII and Title XIX; any federal, state, or local income disability act; or any other public programs providing medical expenses, disability payments, or other similar benefits, except those prohibited by federal law and those expressly excluded by law as collateral sources.
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> 2. Any health, sickness, or income disability insurance; automobile accident insurance that provides health benefits or income disability coverage; and any other similar insurance benefits, except **[**20]** life insurance benefits available to the claimant, whether purchased by her or him or provided by others.
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> 3. Any contract or agreement of any group, organization, partnership, or corporation to provide, pay for, or reimburse the costs of hospital, medical, dental, or other health care services.
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> 4. Any contractual or voluntary wage continuation plan provided by employers or by any other system intended to provide wages during a period of disability.

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[2] Section 14.3(A) of the Code of Regulations provided that the purchase price, when purchased by Buckeye or another shareholder, was the stock's value as determined by a majority shareholder vote at the annual meeting based on the Valuation Report. Section 14.3(B) provided that, if a share was purchased from a deceased shareholder and Buckeye owned an insurance policy on his life, the section 14.3(A) purchase price was to be increased by the difference between the book value of the policy and the amount of life insurance proceeds payable. *Buckeye Corrugated, Inc. v. DeRycke, 2003 Ohio 6321, 2003 WL 22797246, at *4 (Ohio Ct. App. 2003)*.

The trial court denied the motion for setoff because it found that the additional monies were life insurance policy proceeds excluded from setoff under *section 768.76(2)*. PCA appeals that ruling.

We review the trial court's construction of a statute de novo. *Pinnacle Floor Covering, Inc. v. Dep't of Transp., 16 So. 3d 919, 921 (Fla. 2d DCA 2009)*. The funds at issue were not insurance proceeds paid directly to Mr. DeRycke's estate. Buckeye was both the owner and beneficiary of these policies; the shareholder agreement obligated it to use the proceeds to repurchase Mr. DeRycke's stock. The Ohio state court's ruling settled the issue of stock valuation. The additional sums paid to the estate do not fall within the life insurance exception to the **[**21]** collateral source rule.

The jury awarded Mrs. DeRycke $ 692,308 in damages for her loss due to the premature sale of the stock. However, she already had been compensated $ 734,980 more than the book value of the stock. To allow double recovery would be a windfall for Mrs. DeRycke. *See Pollo Operations, Inc. v. Tripp, 906 So. 2d 1101, 1104 (Fla. 3d DCA 2005)* ("The primary purpose behind the collateral source rule is to avoid double recovery by a plaintiff. The goal should be to make a plaintiff whole, not to bestow a windfall."). Accordingly, we reverse the trial court's ruling on this issue. On remand, the trial court shall offset this amount against any economic damages the jury awards for loss of income from the premature sale of the stock.

Attorney's Fees

Pursuant to Mrs. DeRycke's proposal for settlement, the trial court entered a judgment awarding her $ 400,000 in fees and $ 110,000 in costs. Because we are reversing and remanding for a new trial, we must, necessarily, reverse the award of fees and costs. *See ARC Foods, Inc. v. MGI Props., 746 So. 2d 514, 514 (Fla. 2d DCA 1999)*.

[*295] Affirmed in part, reversed in part, and remanded for a new trial.

WALLACE and BLACK, JJ., Concur.

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Beneschott v. Toptal, LLC

Court of Appeal of Florida, Sixth District

April 17, 2025, Decided

Case Nos. 6D2023-3769, 6D2023-3789 CONSOLIDATED

Reporter
2025 Fla. App. LEXIS 2990 *; 2025 LX 48865; 50 Fla. L. Weekly D 901

BREANDEN BENESCHOTT, Appellant, v. TOPTAL, LLC, TASO DU VAL, and DENIS GROSZ, Appellees.

Notice: NOT FINAL UNTIL TIME EXPIRES TO FILE MOTION FOR REHEARING AND DISPOSITION THEREOF IF TIMELY FILED

Prior History: **[*1]** Appeal from the Circuit Court for Collier County. Lower Tribunal No. 2023-CA-002001-0001-XX. Ramiro Mañalich, Judge.

Counsel: Laura Renstrom, Michael M. Gropper and Michael B. Decembrino, Jr., of Holland & Knight LLP, Jacksonville, and Stephen P. Warren, of Holland & Knight LLP, Miami, for Appellant.

Kelly G. Price and Joshua A. Hajek, of Dentons Cohen & Grigsby, P.C., Naples, for Appellees, Toptal, LLC and Taso Du Val.

No Appearance for Appellee, Denis Grosz.

Judges: GANNAM, J. WOZNIAK and BROWNLEE, JJ., concur.

Opinion by: GANNAM

Opinion

GANNAM, J.

These consolidated cases arise from an interstate discovery action to enforce a Nevada, nonparty subpoena issued by the Clerk of the Circuit Court for Collier County, Florida. Appellant, Breanden Beneschott, seeks our review of an order denying his privilege claims and compelling his production of documents to Appellees Toptal, LLC and Taso Du Val (the "Toptal Parties"). The order, enforcing a subpoena under the ***Uniform Interstate Depositions and Discovery Act ("UIDDA"), § 92.251, Fla. Stat.*** (2020), is a final order for purposes of our appellate jurisdiction under *Florida Rule of Appellate Procedure 9.030(b)(1)(A)*. *See Greenlight Fin. Servs., Inc. v. Union Am. Mortg., Inc., 971 So. 2d 983, 984 & n.1 (Fla. 3d DCA 2008)*. Florida law governs our review. *Id. at 985*; *§ 92.251(5), Fla. Stat.* Because it was error for the trial court to deny Beneschott's privilege claims without first conducting an in camera inspection of the disputed documents, **[*2]** we reverse.

I.

Du Val is the owner and CEO of Toptal, LLC. Appellee Denis Grosz is a former financial backer and advisor of Toptal, and Beneschott is Toptal's former Chief Operating Officer. Following Toptal's founding in 2010, various business disputes arose among the parties. These disputes intensified from 2018 to 2020, during which time Toptal terminated Beneschott; Grosz formed a rival company, Mechanism Ventures, and hired Beneschott as its CEO; Beneschott and the Toptal Parties sued each other over his employment and termination; and the Toptal Parties sued Grosz in Nevada. In 2021, the Toptal Parties joined Mechanism Ventures as a defendant in their Nevada lawsuit against Grosz.

Also in 2021, the Toptal Parties commenced their **UIDDA** action in Collier County, Florida, obtaining issuance of a nonparty subpoena to Beneschott on the authority of the Nevada trial court. Beneschott produced approximately 10,000 documents but withheld 750 documents as privileged. Meanwhile, the Toptal Parties litigated a similar production request with Grosz and Mechanism Ventures in the Nevada litigation, challenging similar privilege claims. On March 3, 2023, the discovery commissioner appointed by **[*3]** the Nevada court entered a forty-page recommended order upholding, with detailed analysis, many of the Grosz and Mechanism Ventures privilege claims covering the same documents or categories of documents claimed to be privileged by Beneschott here. The Toptal Parties did not object to the commissioner's recommended order, and the Nevada trial judge confirmed and adopted it.[1]

Over two years after issuance of the Florida nonparty subpoena and one month before the close of fact discovery under the Nevada court's pretrial order, the Toptal Parties challenged Beneschott's privilege assertions in the Florida **UIDDA** proceeding with a motion to compel production. The Toptal Parties set a hearing on the motion for October 18, 2023—four months after fact discovery had closed and just two weeks before the trial was scheduled to begin on November 1, 2023. On October 26, the Florida trial court entered its written order denying Beneschott's privilege claims for approximately 360 documents and compelling Beneschott to produce them. In anticipation of the order, Beneschott petitioned this Court for certiorari review on October 25 (Case No. 6D2023-3769), and then appealed the written order on October **[*4]** 27 (Case No. 6D2023-3789). We consolidated the cases and ordered expedited briefing, and we administratively stayed the trial court's order pending our review.

II.

Beneschott claims on appeal, as he did below, that the disputed documents are protected from disclosure by the attorney-client privilege and work product doctrine, and that the trial court should have inspected the documents in camera before categorically denying his privilege assertions and ordering production. "Whether a privilege exists, as well as its parameters, is subject to de novo review." *Traffanstead v. State, 290 So. 3d 985, 987 (Fla. 1st DCA 2019).* We agree that it was error for the trial court to categorically deny Beneschott's privilege claims without inspecting the disputed documents in camera.

A.

The denied privilege claims at issue cover two categories of documents held by Beneschott. First are the communications contained in a Slack business messaging[2] thread between Beneschott and Grosz, which

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[1] The Toptal Parties argued to the court below that resolution of their challenges to Beneschott's privilege claims would be the same under either Nevada or Florida law, but also argued the court should disregard the Nevada court's discovery order—to which they did not object—upholding similar privilege claims.

[2] *What is Slack?*, Slack, https://slack.com/help/articles/115004071768-Whatis-Slack (last visited Apr. 15, 2025).

Beneschott claims are protected from disclosure by the attorney-client privilege, work product doctrine, and common interest privilege.[3] The Slack messages occurred while Beneschott was CEO of Grosz's company, Mechanism Ventures, and included legal advice given to Grosz by attorneys [*5] representing him and the company concerning potential litigation with the Toptal Parties. The messages also occurred while Beneschott was still in litigation with Toptal, and seven months before the Toptal Parties commenced the current Nevada litigation against Grosz. The second category of documents at issue comprises communications involving Beneschott and various business and legal advisors employed by the Fifth Avenue Family Office ("FAFO"), which Beneschott claims are protected by the attorney-client privilege and work product doctrine. The FAFO communications include legal advice concerning Beneschott's separation from Toptal and the ensuing litigation and settlement of claims between them, occurring between November 2018 and January 2020, part of which time Beneschott was the CEO of Grosz's company, Mechanism Ventures.

The trial court denied attorney-client privilege and work product protection for all the Slack messages without differentiation, stating in its order only that there was no lawyer on the message thread and that the messages occurred more than seven months before the Toptal Parties sued Grosz, and more than eighteen months before they added Mechanism [*6] Ventures as a defendant. The court also denied attorney-client privilege and work product protection for all the FAFO communications, noting that the participants variously included both non-attorneys and a FAFO in-house attorney, and that Beneschott did not indicate whose work product is reflected in the documents or substantiate his assertions that they were prepared in connection with pending or anticipated litigation. These denials do not comport with the standards governing the attorney-client privilege and work product doctrine.

B.

"The attorney-client privilege applies to confidential communications made in the rendition of legal services to the client." S. Bell Tel. & Tel. Co. v. Deason, 632 So. 2d 1377, 1380 (Fla. 1994) [hereinafter *Southern Bell*] (citing § 90.502(1)(b), Fla. Stat. (1991)). The privilege covers communications to third parties "to whom disclosure is in furtherance of the rendition of legal services to the client" and "[t]hose reasonably necessary for the transmission of the communication." § 90.502(1)(c), Fla. Stat. "This privilege covers communications on legal matters between corporate counsel and corporate employees," Shell Oil Co. v. Par Four P'ship, 638 So. 2d 1050, 1050 (Fla. 5th DCA 1994), and dissemination of received legal advice to other employees who need to know it because of its relevance to their duties, *see* Southern Bell, 632 So. 2d at 1383.

The work product doctrine limits [*7] "discovery of documents . . . prepared in anticipation of litigation . . . by or for [a] party or . . . that party's representative, including that party's attorney, consultant, . . . or agent." Fla. R. Civ. P. 1.280(c)(4).[4] Documents containing "fact work product," Southern Bell, 632 So. 2d at 1384, are discoverable "only on a showing that the party seeking discovery has need of the materials in the preparation of the case and is unable without undue hardship to obtain the substantial equivalent of the materials by other means." Fla. R. Civ. P. 1.280(c)(4). Even when the required showing is made, however,

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[3] The trial court did not address Beneschott's common interest privilege claim. Beneschott raises it on appeal, but our resolution of the appeal does not require us to address it.

[4] Rule 1.280(c) was previously designated Rule 1.280(b). *See* In re Amends. to Fla. R. Civ. P., 386 So. 3d 497, app. at 502 (Fla. 2024) (effective Jan. 1, 2025).

"the court must protect against disclosure of the mental impressions, conclusions, opinions, or legal theories of an attorney or other representative of a party concerning the litigation." Fla. R. Civ. P. 1.280(c)(4). Thus, "[w]hereas fact work product is subject to discovery upon a showing of 'need' and 'undue hardship,' opinion work product generally remains protected from disclosure." Southern Bell, 632 So. 2d at 1384 (citations omitted).

The creation of protected work product may involve various party representatives, "including that party's attorney, consultant, . . . or agent," or it may involve the party alone without any representatives. *See* Snyder v. Value Rent-A-Car, 736 So. 2d 780, 781 (Fla. 4th DCA 1999) ("There is no requirement in this rule that for something to be protected **[*8]** as work product, it must be an item ordered to be prepared by an attorney."); Cowan v. Gray, 348 So. 3d 630, 633 (Fla. 5th DCA 2022) ("It is irrelevant for work product purposes that Petitioners prepared their notes at their own behest and without counsel's direction." (citing Snyder, 736 So. 2d at 781)). "Work-product protection extends to information gathered in anticipation of litigation by corporate non-attorney employees." Millard Mall Servs., Inc. v. Bolda, 155 So. 3d 1272, 1275 (Fla. 4th DCA 2015). The test is "whether the document was prepared in response to some event which foreseeably could be made the basis of a claim in the future." Marshalls of MA, Inc. v. Minsal, 932 So. 2d 444, 446-47 (Fla. 3d DCA 2006). Such documents "will not lose their protected status even if they were also generated for another purpose," id. at 446, and disclosure in anticipation of litigation "does not waive the work product privilege unless it is 'inconsistent with the maintenance of secrecy from the disclosing party's adversary . . . [that is, that it] substantially increases the possibility of an opposing party obtaining the information.'" Visual Scene, Inc. v. Pilkington Bros., plc., 508 So. 2d 437, 442 (Fla. 3d DCA 1987) (alteration in original) (quoting United States v. Am. Tel. & Tel. Co., 642 F.2d 1285, 1299, 206 U.S. App. D.C. 317 (D.C. Cir. 1980)).

Rule 1.280 requires the party asserting a claim of attorney-client privilege or work product doctrine to "make the claim expressly and . . . describe the nature of the . . . communications . . . not produced or disclosed in a manner that, without revealing information **[*9]** itself privileged or protected, will enable other parties to assess the applicability of the privilege or protection." Fla. R. Civ. P. 1.280(c)(6). When a party makes this facial showing that documents are protected from disclosure, "the party seeking disclosure bears the burden of proving that they are not," Shell Oil Co., 638 So. 2d at 1050, and "the court must hold an in camera inspection of the discovery material at issue in order to rule on the applicability of the privileges," Allstate Ins. Co. v. Walker, 583 So. 2d 356, 358 (Fla. 4th DCA 1991). *But see* Cowan, 348 So. 3d at 633 (holding no in camera inspection necessary to *uphold* privilege claim where challenge to claim is insufficient as matter of law).

C.

Under the foregoing standards, the availability of the attorney-client privilege does not depend on the participation of an attorney in every communication for which the privilege is claimed. Nor does the applicability of the work product doctrine depend on the participation of an attorney in every communication or document for which protection is claimed, or the commencement of anticipated litigation within a certain period of time—or ever.

Thus, communications between a new company's owner and CEO about legal advice previously received by the owner may be privileged. *See* Southern Bell, 632 So. 2d at 1383. And when the communications concern a rival company **[*10]** that has a long-running dispute with the new company's owner, and has recently sued and settled with the new company's CEO, those communications may be protected work product if they "respon[d] to some event which foreseeably could be made the basis of a claim in the future," *Marshalls of MA, Inc., 932 So. at 446-47*, even if made months before any such claim ripens into litigation. These are the facts substantiating Beneschott's privilege and work product claims over the Slack thread between him and Grosz, as shown to the trial court by Beneschott's privilege log and supporting declarations that the Toptal Parties did not refute.

Beneschott's privilege log and unrefuted declarations similarly substantiate his privilege and work product claims over the FAFO communications. Beneschott explained the participation of attorney and non-attorney representatives in communications about Beneschott's termination by the Toptal Parties and subsequent litigation and settlement with them. And, like the Slack thread, some of the FAFO communications occurred after Beneschott had begun working for Grosz as Mechanism Venture's CEO, when, according to the Toptal Parties, "Beneschott had a front row seat to, and participated in" the events leading **[*11]** to the Toptal Parties' filing suit against Grosz and Mechanism Ventures.

Beneschott substantiated his privilege claims with a privilege log and unrefuted declarations. "That is sufficient to warrant an *in camera* inspection in this case." *RC/PB, Inc. v. Ritz-Carlton Hotel Co., L.L.C., 132 So. 3d 325, 327 (Fla. 4th DCA 2014)*. Under the circumstances here, it was error for the trial court to categorically deny the claims and order production without first inspecting the documents in camera.[5]

III.

We reverse the trial court's order on the merits and remand for further proceedings consistent with this opinion. Our decision does not foreclose the trial court's considering the enforceability of a **UIDDA** subpoena for pretrial discovery after conclusion of the out-of-state trial or the impact of any other developments in the parties' ongoing litigation.

REVERSED and REMANDED.

WOZNIAK and BROWNLEE, JJ., concur.

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[5] Beneschott is entitled to relief from the trial court's production order under either the de novo appellate standard or the more stringent certiorari standard requiring departure from the essential requirements of the law. *See, e.g., Allstate Ins. Co., 583 So. 2d at 358 (Fla. 4th DCA 1991)* (granting certiorari review of trial court order denying privilege claims and compelling production without in camera inspection); *Cowan, 348 So. 3d at 632-33* (same).

Fla. Stat. § 92.251

Current through the 2025 Regular Session.

LexisNexis® Florida Annotated Statutes > Title VII. Evidence. (Chs. 90 — 92) > Chapter 92. Witnesses, Records, and Documents. (§§ 92.05 — 92.70)

§ 92.251. Uniform Interstate Depositions and Discovery Act.

(1) Short title. This section may be cited as the "Uniform Interstate Depositions and Discovery Act."

(2) Definitions. As used in this section, the term:

(a) "Foreign jurisdiction" means a state other than this state.

(b) "Foreign subpoena" means a subpoena issued under authority of a court of record of a foreign jurisdiction.

(c) "Person" means an individual, corporation, business trust, estate, trust, partnership, limited liability company, association, joint venture, public corporation, government, or governmental subdivision, agency or instrumentality, or any other legal or commercial entity.

(d) "State" means a state of the United States, the District of Columbia, Puerto Rico, the United States Virgin Islands, a federally recognized Indian tribe, or any territory or insular possession subject to the jurisdiction of the United States.

(e) "Subpoena" means a document, however denominated, issued under authority of a court of record requiring a person to:

1. Attend and give testimony at a deposition;

2. Produce and permit inspection and copying of designated books, documents, records, electronically stored information, or tangible things in the possession, custody, or control of the person; or

3. Permit inspection of premises under the control of the person.

(3) Issuance of subpoena.

(a) To request issuance of a subpoena under this section, a party from a foreign jurisdiction must submit a foreign subpoena to a clerk of court in the county in this state in which discovery is sought. A request for the issuance of a subpoena under this act does not constitute an appearance in the courts of this state.

(b) When a party submits a foreign subpoena to a clerk of court in this state, the clerk, in accordance with that court's procedure, shall promptly issue a subpoena for service upon the person to which the foreign subpoena is directed.

(c) A subpoena pursuant to paragraph (b) shall:

1. Incorporate the terms used in the foreign subpoena; and

2. Contain or be accompanied by the names, addresses, and telephone numbers of all counsel of record in the proceeding to which the subpoena relates and of any party not represented by counsel.

(4) Service of subpoena. A subpoena issued by a clerk of court under subsection (3) must be served in compliance with the laws of this state and the Florida Rules of Civil Procedure.

(5) Deposition, production, and inspection. The laws and rules of this state govern and apply to all subpoenas issued under subsection (3).

(6) Application to court. An application to the court for a protective order or to enforce, quash, or modify a subpoena issued by a clerk of court under subsection (3) must comply with the statutes and rules of this state and be submitted to the court in the county in which discovery is to be conducted.

(7) Uniformity of application and construction. In applying and construing this uniform act, consideration must be given to the need to promote uniformity of the law with respect to its subject matter among states that enact it.

(8) Inapplicability to criminal proceedings. This act does not apply to criminal proceedings.

History

SS. 1, 2, 3, ch. 59-250; s. 3, ch. 76-237; s. 1, ch. 77-77; s. 22, ch. 78-361; s. 1, ch. 78-379; s. 1, *ch. 2019-13*, effective July 1, 2019.

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IN THE COUNTY COURT OF THE TWELFTH JUDICIAL CIRCUIT IN AND FOR MANATEE COUNTY, FLORIDA

COLONIAL MANOR MHC HOLDINGS, LLC,
Plaintiff

v. **Case Number 25 CC 715**

GEORGE EDWARD YESKE, III and ANY UNKNOWN PARTY IN POSSESSION,
Defendants
_______________________________________/

ORDER ON DEFENDANT'S MOTION TO DETERMINE RENT AND DEMAND FOR JURY TRIAL

This matter came before the Court for hearing on April 8, 2025, on the Defendant's Motion to Determine Rent (filed March 3, 2025) and demand for jury trial (filed March 7, 2025). Present at the zoom hearing was both parties. Having heard the parties' presentations, reviewed the court file, and being otherwise duly advised in the premises, the Court finds and rules as follows.

1. This is an action related to property located at 900 9th Ave. East, Lot #38, Palmetto, FL 34221. The Plaintiff is the mobile home park owner, and the Defendant is the mobile home owner leasing Lot 38.

2. The Plaintiff filed its Complaint on February 21, 2025, asserting two counts – possession due to failure to pay lot rent (Count I), and damages for rent arrears (Count II). This action is one governed by Chapter 723, Florida Statutes. *See* § 723.061(1)(a), Fla. Stat.

3. The Defendant asks this Court to determine how much money must be deposited into the registry. *See* § 723.063(2), Fla. Stat. ("[i]n any action by the park owner . . . [based upon nonpayment of rent], the mobile home owner shall pay into the registry of the court that portion of the accrued rent . . . as determined by the court"). He argues that his mobile home was destroyed by Hurricane Milton, and as a result he is no longer obligated to pay lot rent. He relies on section 83.63, Florida Statutes (permitting residential tenants subject to Chapter 83 to terminate a rental agreement and vacate premises damaged by a casualty).

4. There was some evidence suggesting that the parties have discussed the possibility of the Defendant signing title to the mobile home over to the Plaintiff. That outcome has not been affirmatively agreed, however.

5. As a threshold matter, the Court does not find that Chapter 83 applies to this case, as the subject property is a mobile home owned by the Defendant. *See* § 723.004, Fla. Stat.

6. The parties agree that the Defendant leased Lot 38 of the park from the Plaintiff. "Mobile home lot" means a "lot intended for the placement of a mobile home," § 723.003(9), Fla. Stat., and the parties agreed that the Defendant could place his mobile home on one of the Plaintiff's lots – specifically Lot 38. The Defendant is thus renting the land upon which his mobile home sits.

7. The undisputed evidence is that lot rent is $821 per month, the Defendant is the owner of record, and no lot rent has been paid for January to April 2025.

8. Based on the evidence presented at this preliminary hearing, the Court finds that the Defendant shall deposit into the court registry the amount of $3,284 (lot rent for January through April 2025). The Defendant shall do so no later than April 16, 2025. Additionally, the Defendant shall continue paying lot rent into the court registry as it becomes due until this matter is fully resolved. Pursuant to section 723.063(2), Florida Statutes, failure to deposit in accordance with this Order shall constitute an absolute waiver of the Defendant's defenses other than payment, and the Plaintiff will be entitled to an immediate default.

9. The Court reserves jurisdiction to address how monies deposited into the registry will be disbursed.

10. There is no objection by the Plaintiff to the Defendant's demand for a jury trial. Once the Defendant deposits the monies into the registry as provided in this Order, the parties shall contact the judicial assistant to schedule the 1.5-day jury trial, and pretrial conference.

DONE AND ORDERED in Chambers, Bradenton, Manatee County, Florida on this 9th day of April 2025.

Renee Inman

Renee Inman, County Judge

Copies to:
Bill Price, Esq. (pleadings@wcpricelaw.com) AND (monicam@wcpricelaw.com)
George Yeske, (George.yeske@gmail.com) AND 1438 O'Neal Road, Gulfport, MS 39503

Lewis v. Guthartz

Supreme Court of Florida.

December 22, 1982; Rehearing Denied April 12, 1983.

No. 61824.

Reporter

428 So. 2d 222 *; 1982 Fla. LEXIS 2648 **

Sally LEWIS et al., Petitioners, v. Barnett GUTHARTZ, Respondent.

Counsel: [**1] Joseph P. Klock, Jr. and Gary T. Stiphany of Steel, Hector & Davis, Miami, and Paul J. Levine of Morgan, Lewis & Bockius, Miami, for petitioners.

Marion E. Sibley of Sibley, Giblin, Levenson & Glaser, Miami Beach, and Joe N. Unger of the Law Offices of Joe N. Unger, Miami, for respondent.

Judges: Before EHRLICH, Justice. ALDERMAN, C.J., and ADKINS, BOYD, OVERTON and McDONALD, JJ., concur.

Opinion by: EHRLICH

Opinion

[*222] EHRLICH, Justice.

This cause is before the Court on a question certified by the Third District Court of Appeal to be of great public importance. We have jurisdiction pursuant to *article V, section 3(b)(4), Florida Constitution.*

Lewis et al. (Tenants) are 132 tenants in Guthartz' (Landlord) Bay Terrace Apartments on Miami Beach. That building was constructed with the aid of a Federal Housing Authority "elderly housing" mortgage and insured under the National Housing Act. The Act forbids rental charges in excess of an FHA-approved rent schedule. As part of the mortgage, an FHA Regulatory Agreement was recorded. Under this agreement, monthly rental rates were fixed by the FHA and security deposits limited to one month's rent.

The Tenants sued, claiming [**2] inter alia, that the Landlord charged excessive rents and security deposits. They sought restitution, injunctive relief, and attorneys' fees. They also sought **punitive damages** based upon: illegal rent increases; illegal retention [*223] of excess security deposits; commingling of security deposits with the Landlord's own funds; intimidation and harassment of the Tenants; continual disobedience of federal regulations; repeated violations of court orders; and submissions of false statements to the FHA, which resulted in a criminal conviction in federal court for knowingly making a false statement to a federal agency.

At a non-jury trial in September 1978, the Tenants prevailed. The trial judge awarded $ 105,828.12 actual damages to the Tenants. Also finding that the Landlord had a net worth of $ 9,000,000, and that he was guilty of "flagrant, wilful and intentional misconduct," the trial court awarded the Tenants $ 1,000,000 in **punitive damages** both to punish the Landlord and "to serve as an example and warning to others." The trial court also awarded attorneys" fees of $ 200,800. Finally, the court awarded the Special Master's fee of $ 17,000.

The Landlord appealed only the **[**3]** Special Master's fee, the **punitive damage** award, and the attorneys' fees. The district court affirmed in part and reversed in part. *Guthartz v. Lewis, 408 So.2d 600 (Fla. 3d DCA 1981)*. The court affirmed the Special Master's fee and that issue was **not** appealed to this Court. The district court reversed the **punitive damages** award and the attorneys' fees, and certified the following question:

> WHERE THE DEFENDANT FLAGRANTLY, UNJUSTIFIABLY, AND OPPRESSIVELY BREACHES A CONTRACT, AND ATTEMPTS TO CONCEAL THE BREACH BY THE CRIMINAL ACT OF MAKING FALSE STATEMENTS TO THE GOVERNMENT, MUST THE PLAINTIFFS PLEAD AND PROVE THAT THE DEFENDANT COMMITTED AN INDEPENDENT TORT AGAINST THEM IN ORDER TO RECOVER **PUNITIVE DAMAGES**?

We answer the certified question "yes" and approve the decision of the district court.

It is now a well-settled rule in Florida that **punitive damages** are **not** recoverable in a breach of **contract action**, absent an accompanying independent tort. As we stated in the seminal case of *Griffith v. Shamrock Village, Inc., 94 So.2d 854 (Fla. 1957)*,

> The general rule is that **punitive damages** are **not** recoverable for breach of contract, irrespective of the motive of defendant. **[**4]** But where the acts constituting a breach of contract also amount to a cause of action in tort there may be a recovery of exemplary damages upon proper allegations and proof.

94 So.2d at 858. *See also* *Grossman Holdings, Ltd. v. Hourihan, 414 So.2d 1037 (Fla. 1982)*; *Nicholas v. Miami Burglar Alarm Co., 339 So.2d 175 (Fla.1976)*; *American International Land Corp. v. Hanna, 323 So.2d 567 (Fla.1975)*; *Masciarelli v. Maco Supply Corp., 224 So.2d 329 (Fla.1969)*; *Saltmarsh v. Detroit Automobile Inter-Insurance Exchange, 344 So.2d 862 (Fla. 3d DCA 1977)*; *Country Club of Miami Corp. v. McDaniel, 310 So.2d 436 (Fla. 3d DCA 1975)*; *Associated Heavy Equipment Schools, Inc. v. Masiello, 219 So.2d 465 (Fla. 3d DCA 1969)*. We reaffirm the rule and its underlying policy: an unwillingness to introduce uncertainty and confusion into business transactions as well as the feeling that compensatory damages as substituted performance are an adequate remedy for an aggrieved party to a breached contract. *See* Simpson, ***Punitive Damages** for Breach of Contract,* 20 Ohio St.L.J. 284 (1959).

Tenants argue that should this Court decide to continue the *Griffith* rule, we should **[**5]** nonetheless reinstate the trial court's award of **punitive damages** because they had in fact alleged and proved an independent tort. [1] This is **not** accurate. The Tenants failed to allege an independent tort in their pleadings and the district court's conclusion [*224] that "the tenants failed to allege or prove a tort committed by Guthartz which was distinguishable from or independent of his breach of contract," *408 So.2d at 602*, is competently supported by the record. The fact that the trial court found that the Landlord acted intentionally, willfully, and outrageously as to the breach of contract does **not** by itself create a tort where a tort otherwise does **not** exist.

Concerning the award of attorneys' fees, we hold that they are **not** recoverable by statute. The trial court found that the Tenants were eligible for attorneys' fees under *sections [**6] 83.48* [2] and *83.49(3)(c),*[3]*Florida Statutes* (1977). The district court correctly held these two sections inapplicable. *Section 83.48* requires the litigation to be "with respect to the rental agreement." In the instant case, the Tenants' action was **not** bottomed on the rental agreement but rather the FHA regulatory agreement. The latter was one of the documents attached to the complaints and sued upon; it was upon the latter that the trial court imposed liability on the Landlord. No Liability was urged or claimed or adjudicated against the Landlord predicated upon any obligation, covenant or promise under the rental agreements. The gravamen of the Tenants' claim was embedded solely in terms of the regulatory agreement. *Section 83.48* is applicable only where a landlord under a rental agreement is **entitled** by its terms to recover attorneys' fees from a tenant. A corresponding right is granted to the tenant if the tenant prevails. In the present case, since the basis of the action is the regulatory agreement and **not** a rental agreement, the Tenants are afforded no rights under this statute.

[**7] Similarly, *section 83.49(3)(c)* is likewise **not** applicable because a *right* to a security deposit was **not** adjudicated. That section applies to suits instituted for the recovery of security deposits in which both the landlord and tenant claim entitlement thereto. As seen by putting *section 83.49(3)(c)* within the context of preceding *sections 83.49(3)(a)* [4] and *(3)(b)*, [5] the issue that the statute addresses is the issue of a tenant's

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[1] Tenants in their brief alleged fraud and deceit and a violation of ***Restatement (Second) of Torts § 536*** (1977) as their independent torts. At oral argument, Tenants conceded the absence of fraud and deceit and instead relied upon ***Restatement § 536*** as well as the "torts" of "violation of a federal statute" and "restitution."

[2] *83.48 Attorney's fees.* -- If a rental agreement contains a provision allowing attorney's fees to the landlord when he is required to take any action to enforce the rental agreement, the court may also allow reasonable attorney's fees to the tenant when he prevails in any action by or against him with respect to the rental agreement.

[3] *83.49 Deposit money or advance rent; duty of landlord and tenant. ...* (3)(c) If either party institutes an action in a court of competent jurisdiction to adjudicate his right to the security deposit, the prevailing party is **entitled** to receive his court costs plus a reasonable fee for his attorney. The court shall advance the cause on the calendar.

[4] (3)(a) Upon the vacating of the premises for termination of the lease, the landlord shall have 15 days to return said security deposit together with interest or in which to give the tenant written notice by certified mail to the tenant's last known mailing address of his intention to impose a claim thereon. The notice shall contain a statement in substantially the following form:

This is a notice of my intention to impose a claim for damages in the amount of upon your security deposit. It is sent to you as required by *s. 83.49(3), Florida Statutes*. You are hereby notified that you must object in writing to this deduction from your security deposit within 15 days from the time you receive this notice or I will be authorized to deduct my claim from your security deposit. Your objection must be sent to *(landlord's address)*.

If the landlord fails to give the required notice within the 15-day period, he forfeits his right to impose a claim upon the security deposit.

[5] (b) Unless the tenant objects to the imposition of the landlord's claim or the amount thereof within 15 days after receipt of the landlord's notice of intention to impose a claim, the landlord may then deduct the amount of his claim and shall remit the balance of the deposit to the tenant within 30 days after the date of the notice of intention to impose a claim for damages.

right to the return of his security deposit upon vacating the premises. In contrast, the issue in the instant litigation concerned whether or **not** a security deposit equal to two month's rent could be required under FHA regulations. *Section 83.49(3)(c)*, therefore, provides no basis for an award of attorneys' fees.

[8]** **[*225]** In sum, we answer the certified question "yes" and hold that the pleading and proving of an independent tort are required in a breach of **contract action** in order for **punitive damages** to be recovered. We thus approve the decision of the district court below.

It is so ordered.

ALDERMAN, C.J., and ADKINS, BOYD, OVERTON and McDONALD, JJ., concur.

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